

Multiple Choice (10 marks)

1. How does an increasing national debt impact the market for U.S. dollars and the value of the dollar with respect to other currencies? MARKET FOR THE DOLLAR VALUE OF THE DOLLAR
 - (a) Increased supply Depreciating
 - (b) Decreased supply Appreciating
 - (c) No change in supply Appreciating
 - (d) Increased demand Depreciating
 - (e) Decreased demand Appreciating
2. Which of the following would NOT shift the aggregate demand curve?
 - (a) A change in spending by state governments.
 - (b) A change in the inflation rate.
 - (c) A change in technology.
 - (d) A change in consumer confidence.
 - (e) A change in foreign trade policies.
3. If Real GDP = \$200 billion and the price index = 200 Nominal GDP is
 - (a) \$300 billion
 - (b) \$800 billion
 - (c) \$4 billion
 - (d) \$600 billion
 - (e) \$200 billion
4. The concentration ratio for a monopoly is
 - (a) 50
 - (b) 5
 - (c) 10
 - (d) 90
 - (e) 15
5. What is meant by the term "normal goods"?
 - (a) Normal goods are those whose demand is independent of income.

- (b) Normal goods are those whose demand curve shifts downward with an increase in income.
- (c) Normal goods are those whose consumption is deemed socially unacceptable as income rises.
- (d) Normal goods are those whose demand curve shifts upward with a decrease in income.
- (e) Normal goods are those whose demand curve varies directly with income.

True / False (10 marks)

Answer True or False

- 6. True or False: The residual from a standard regression model is the difference between the actual value, y , and the fitted value, $\hat{y}$.
- 7. True or False: In the short run, a perfectly competitive firm may operate at a loss depending on market prices relative to average total cost.
- 8. True or False: A negative current account balance necessitates a decrease in the country's interest rates to stabilize the economy.
- 9. True or False: The measure of a firm's monopoly pricing power is represented by the formula $(P-MC)/MC^2$, indicating greater power with larger values.
- 10. True or False: A university degree is classified as capital because it directly generates income like physical assets do.

Long Form Response (20 marks)

Answer each question with a clear and complete explanation.

- 11. Discuss the implications of falling prices and rising real GDP in an economy, focusing on how technological advancements could drive these trends and their potential effects on economic stability.
- 12. Discuss the implications of a reserve ratio of 0.1 on a bank's lending capacity, specifically analyzing how a 200 deposit can lead to a maximum lending potential of 2,000.

End of Paper